ECONOMY

LECTURES

FISCAL POLICY

MODULE - 24

ECONOMY

Learning Space

MIXED ECONOMY AND GOVERNMENT'S ROLE

1. ALLOCATION FUNCTION

2. DISTRIBUTION FUNCTION

3. STABILIZATION FUNCTION

ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

1. ALLOCATION FUNCTION

These are public goods, which are distinct from private goods and these cannot be provided through market mechanism and must be provided by the government and this is the allocation function.

ECONOMY

MIXED ECONOMY AND GOVERNMENT'S ROLE

2. DISTRIBUTION FUNCTION

The government affects personal disposable income of households by making transfer payments and collecting taxes. This can alter the income distribution. This is the distribution function.

ECONOMY

Learning Space

MIXED ECONOMY AND GOVERNMENT'S ROLE

3. STABILIZATION FUNCTION

UNEMPLOYMENT

INFLATION

The Government has got the responsibility to stabilize the economy as and when the need arises

ECONOMY

Learning Space

ECONOMIC POLICY

Ministry of Finance
Government of India

1 FISCAL POLICY

TAXATION

TATA MOTORS

EXPENDITURE

2 MONETARY POLICY

CIRCULATION OF MONEY

ECONOMY

FISCAL POLICY

RECEIPTS

REVENUE RECEIPTS

DIRECT TAXES

Reliance
Industries Limited

Mahindra

TATA
TATA CONSULTANCY SERVICES

INDIRECT TAXES

ECONOMY

FISCAL POLICY

RECEIPTS

CAPITAL RECEIPTS

DISINVESTMENT

एनटीपीसी NTPC

बी एच ई एल BHEL

Empowering India • कोल इण्डिया Coal India • Nurturing Nature • Enabling Life

भारत इलेक्ट्रॉनिक्स BHARAT ELECTRONICS QUALITY. TECHNOLOGY. INNOVATION.

हिएलि HAL

इंडियनऑयल IndianOil

DEBT

ECONOMY

Learning Space

FISCAL POLICY

2 EXPENDITURE

1

SUBSIDIES

Merit / Non Merit

2

INVESTMENTS

To benefit future generations

3

DAY TO DAY

ECONOMY

Learning Space

FISCAL POLICY

1 UNEMPLOYMENT

2 GDP

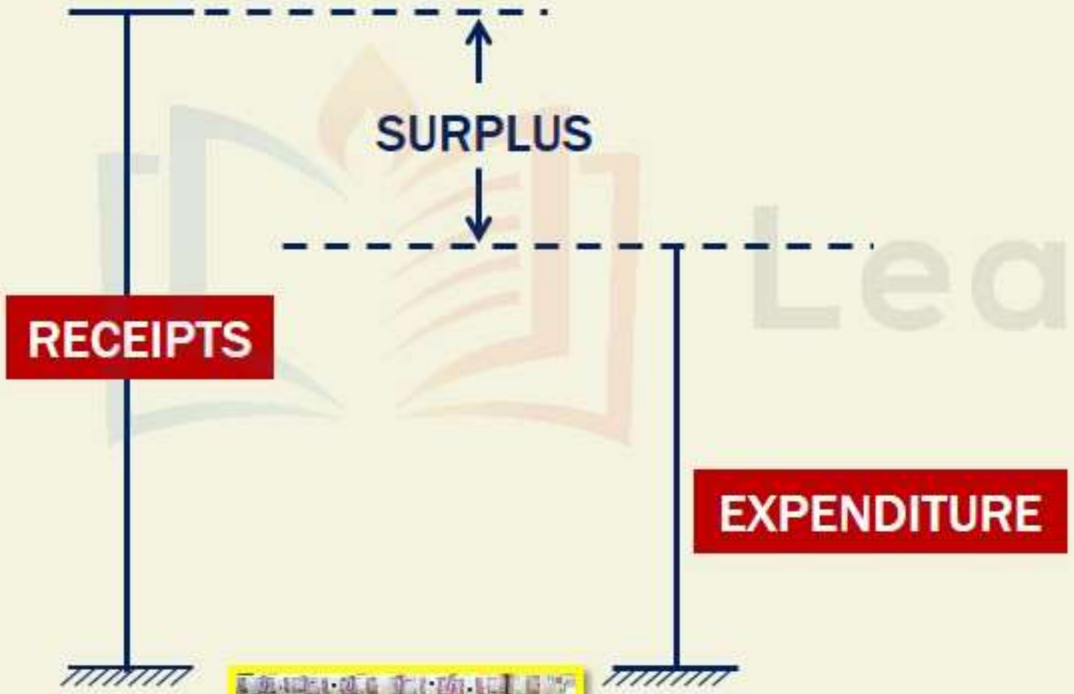
3 INFLATION

4 CREATION OF ASSETS

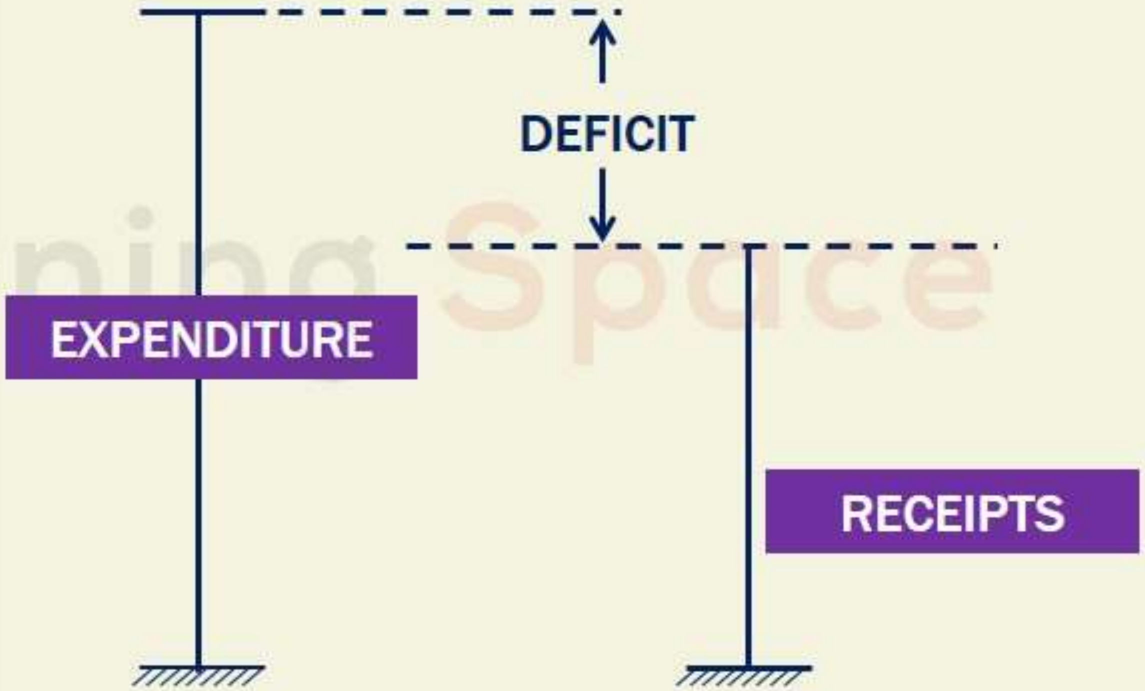
ECONOMY

FISCAL POLICY

1 SURPLUS



2 DEFICIT



ECONOMY

HOW TO FINANCE THE DEFICIT?

1 BORROWING

भारतीय डाक
India Post

SBI

बैंक ऑफ़ बड़ौदा
Bank of Baroda

भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

INTERNATIONAL MONETARY FUND

The World Bank

2 INCREASE IN TAXES

TATA MOTORS

3 PRINTING CURRENCY

ECONOMY

Learning Space

FISCAL POLICY

1 BORROWING

1

Borrowings from public

2

Commercial banks through SLR mechanism

3

Governments' borrowings from RBI

4

Loans from multilateral lenders / Govts

ECONOMY

FISCAL POLICY

2 INCREASE IN TAXES ✗

GROSS INCOME − TAXES ↑ = CONSUMPTION ↓ + SAVINGS & INVESTMENTS ↓

Disposable Income is in general
Gross Income - Taxes

भारतीय डाक

India Post

SBI

ECONOMY

FISCAL POLICY

3 PRINTING CURRENCY

- Inflationary
- More money in circulation
- Intrinsic value of currency will be lost

ECONOMY

TYPES OF FISCAL POLICY

1 EXPANSIONARY FISCAL POLICY

- Increasing Govt. expenditure
- Decrease in taxes

Fiscal deficit will increase

2 CONTRACTIONARY FISCAL POLICY

- Decrease in Govt. expenditure
- Increase in taxes

Fiscal deficit will decrease

ECONOMY

EXPANSIONARY FISCAL POLICY & EXTREME FALLOUT

1 Borrowing from banks/ FIs

SBI

Crowding out of private investment

2 Borrowing from Foreign sources

INTERNATIONAL MONETARY FUND

The World Bank

Debt crisis

3 Printing more currency

Inflation due to more money in circulation

4 Tapping foreign exchange reserves

Foreign Exchange Reserves

Balance of Payments crisis

ECONOMY

UNDER WHAT CIRCUMSTANCES BORROWINGS ARE JUSTIFIED?

1

Inflation must be under control

2

Public debt must be under control

3

Returns on assets created must be more than interest

4

Borrowings should not go for revenue expenditure

ECONOMY

Learning Space

DEBT & DEFICIT

2017-18 **DEFICIT**

FLOW CONCEPT

DEBT

STOCK CONCEPT

ECONOMY

PUBLIC DEBT

CONCEPTUAL UNDERSTANDING

FUTURE SCENARIO

ONE VIEW

1. It is shifting of burden on the future generations.
2. The government is borrowing money by issuing bonds and it may pay back by raising taxes after 20 years.
3. If the taxes are raised in future, consumption expenditure will fall, which may also result in fall in national savings.
4. Hence, private sector investment may fall.
5. It may result in reduction in capital formation.
6. Hence, it is a burden on future generations.

ECONOMY

PUBLIC DEBT

CONCEPTUAL UNDERSTANDING

FUTURE SCENARIO

SECOND VIEW

- Debt does not matter, because majority of this, we owe it to ourselves.
- There is a transfer of resources between generations, purchasing power remains, within the Nation.

ECONOMY

Learning Space

PUBLIC DEBT

CONCEPTUAL UNDERSTANDING

RICARDIAN EQUIVALENCE

David Ricardo

This is known as Ricardian equivalence

- Consumers are forward-looking
- They will base their spending not only on their current income, but also on their expected future income.
- They would increase savings now.
- This would fully offset the increased government dissaving so that national savings do not change.

The underlying idea behind Ricardo's theory is that no matter how a government chooses to increase spending, whether with debt financing or tax financing, the outcome is the same and demand remains unchanged.

Learning Space

ECONOMY

PUBLIC DEBT

FINAL CONCLUSION

1 Debt is inflationary, if firms are not able to increase the production commensurate with the rising demand.

2 Decrease in investment by the private sector due to the fact that the government bonds will compete with the corporate bonds for resources.

3 Issue of item No 2 can be offset, if with deficits, government is able to increase production, thereby incomes.

4 If government creates infrastructure, future generations can be benefitted because the returns are much higher than interest being paid.

Hence, there is no point in borrowing money and spending on revenue expenditure. The final point is create capital assets with borrowed money.

WE EXPRESS OUR SINCERE THANKS FOR VIEWING THIS VIDEO

Presented by

Learning Space

For Suggestions:
suggestions@learningspace.in

To Contact us:
info@learningspace.in

OUR TEAM

G. V. Rao

D. Sunil Kumar
V. Dayakar James
Y. Sri Poojita
G. Ravi Babu
D. Joji
K. Victor Babu

Visit us at:
www.learningspacedigital.com

0866-24 44472
098499 42299